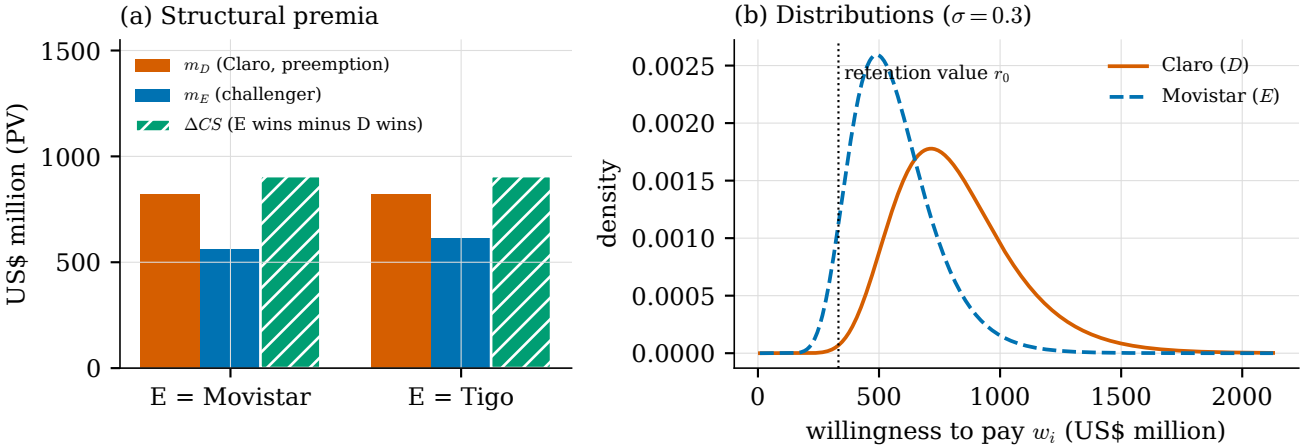
(a) Structural premia
1500
1000
500
0
US$ million (PV)
m_D (Claro, preemption)
m_E (challenger)
ΔCS (E wins minus D wins)
E = Movistar
E = Tigo
(b) Distributions ($\sigma = 0.3$)
0.0025
0.0020
0.0015
0.0010
0.0005
0.0000
density
retention value r_0
Claro (D)
Movistar (E)
0
500
1000
1500
2000
willingness to pay w_i (US$ million)